

BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2021

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Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Joel Sieren	President	2023
Anika McVay	Vice President	2023
Darven Kendall	Board Member	2021
Deborah Hatteberg	Board Member	2023
Nancy Hoelzen	Board Member	2023
Dean Vickstrom	Board Member	2021
Tom Courtney	Board Member	2021

School Officials

Patrick Coen	Superintendent	2021
Greg Reynolds	Board Secretary/Treasury	2021
Ahlers & Cooney, P.C.	Attorney	2021
Lynch Dallas, P.C.	Attorney	2021

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report

To the Board of Education of Burlington Community School District:

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2021, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles. This includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business type activities, each major fund, and the aggregate remaining fund information of Burlington Community School District as of June 30, 2021, and the respective changes in its financial position and, where applicable, its cash flows thereof for the year then ended in accordance with U.S. generally accepted accounting principles.

Members American Institute & Iowa Society of Certified Public Accountants

Other Matters

Required Supplementary Information.

U.S generally accepted accounting principles require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 15 and 46 through 51 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with U.S. generally accepted auditing standards, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2020 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with U.S. generally accepted auditing standards. In our opinion, the supplementary information, including the Schedule of Expenditures of Federal Awards, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated March 24, 2022, on our consideration of Burlington Community School District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.



NOLTE, CORNMAN & JOHNSON, P.C.

March 24, 2022
Newton, Iowa



Burlington Community School District

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2021. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2021 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$60,687,382 at June 30, 2020 to \$63,812,665 at June 30, 2021. Total revenues increased 4.41% from \$58,530,673 in fiscal year 2020 to \$61,110,704 in fiscal year 2021, while total expenses increased 2.23% from \$56,721,983 in fiscal year 2020 to \$57,985,421 in fiscal year 2021. Revenues from operating grants, contributions and restricted interest increased \$2,017,273 compared to the prior year contributing to the increase in total revenues. The increase in expenses occurred mainly in the support services function.
- The District's General Fund revenues increased from \$49,347,880 in fiscal year 2020 to \$52,003,573 in fiscal year 2021, while General Fund expenditures increased from \$49,365,102 in fiscal year 2020 to \$51,243,535 in fiscal year 2021. The District's General Fund balance increased from \$13,373,846 at June 30, 2020 to \$14,133,884 at June 30, 2021, a 5.68% increase from the prior year.
- The increase in fiscal year 2021 General Fund revenues is due primarily to an increase federal sources received while the increase in expenditures was due primarily to an increase in regular instruction costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

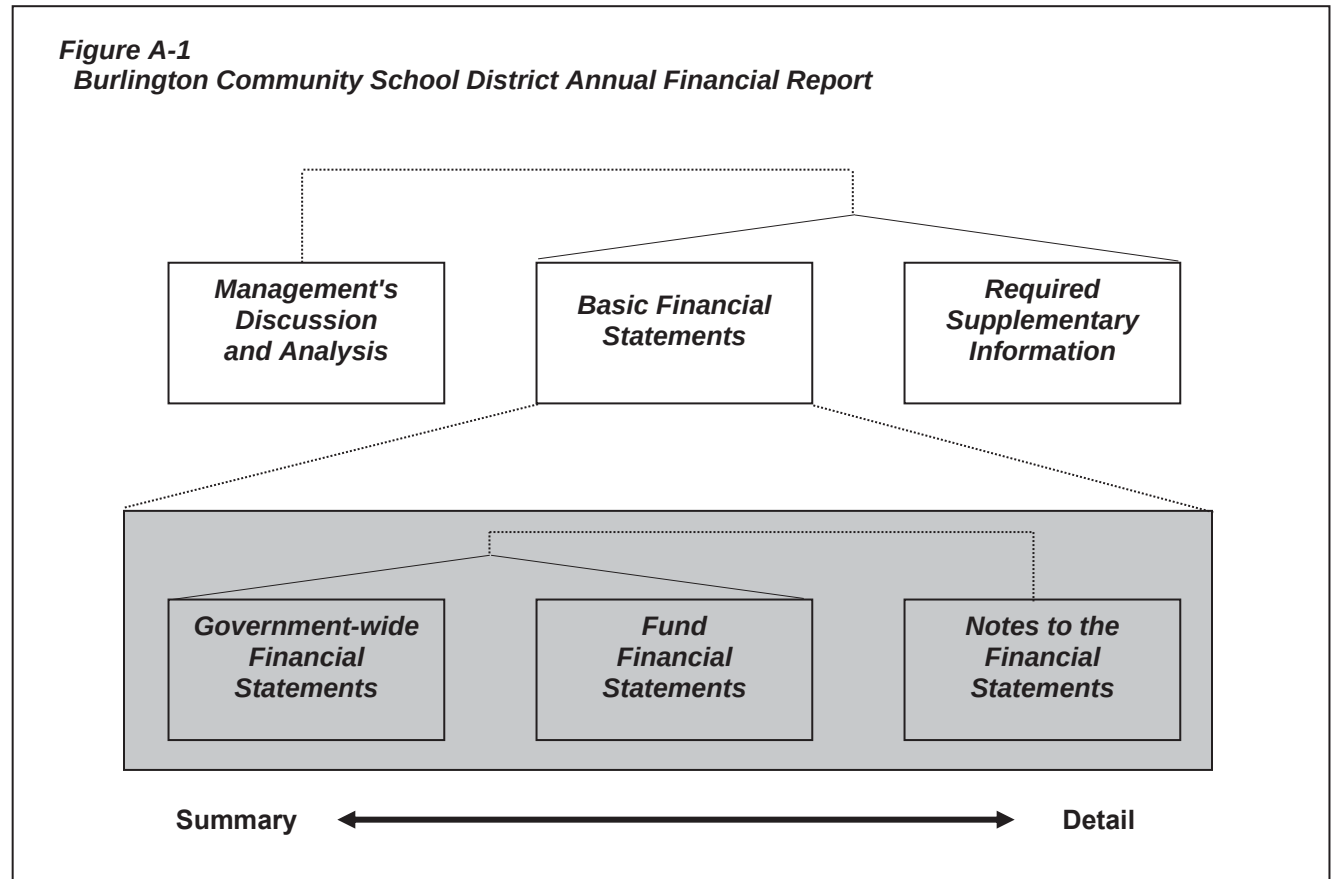


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2				
Major Features of the Government-Wide and Fund Financial Statements				
	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service, core early childhood center and student construction	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	- Statement of net position - Statement of activities	- Balance sheet - Statement of revenues, expenditures, and changes in fund balances	- Statement of net position - Statement of revenues, expenses and changes in fund net position - Statement of cash flows	- Statement of fiduciary net position - Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow/ outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities*: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business type activities*: The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) *Governmental funds*: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) *Proprietary funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has three Enterprise Funds, the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) *Fiduciary funds*: The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.
 - Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2021 compared to June 30, 2020.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2021	2020	2021	2020	2021	2020	2020-21
Current and other assets	\$ 57,447,698	52,224,198	843,266	625,099	58,290,964	52,849,297	10.30%
Capital assets	71,390,755	72,910,493	94,880	119,572	71,485,635	73,030,065	-2.11%
Total assets	128,838,453	125,134,691	938,146	744,671	129,776,599	125,879,362	3.10%
Deferred outflows of resources	5,943,487	5,556,060	130,373	128,068	6,073,860	5,684,128	6.86%
Long-term liabilities	45,036,397	43,674,252	642,809	530,951	45,679,206	44,205,203	3.33%
Other liabilities	8,921,130	7,366,162	96,156	100,549	9,017,286	7,466,711	20.77%
Total liabilities	53,957,527	51,040,414	738,965	631,500	54,696,492	51,671,914	5.85%
Deferred inflows of resources	17,292,352	19,099,715	48,950	104,479	17,341,302	19,204,194	-9.70%
Net position:							
Net investment in capital assets	53,120,755	52,670,493	94,880	119,572	53,215,635	52,790,065	0.81%
Restricted	19,412,004	17,105,965	-	-	19,412,004	17,105,965	13.48%
Unrestricted	(9,000,698)	(9,225,836)	185,724	17,188	(8,814,974)	(9,208,648)	4.28%
Total net position	\$ 63,532,061	60,550,622	280,604	136,760	63,812,665	60,687,382	5.15%

The District's total net position increased 5.15%, or \$3,125,283, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$2,306,039, or 13.48%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for management levy purposes when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased \$393,674, or 4.28%. This increase in unrestricted net position was primarily the result of the increase in the District's unassigned General Fund balance.

Figure A-4 shows the changes in net position for the year ended June 30, 2021 compared to the year ended June 30, 2020.

Figure A-4 Changes in Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	2021	2020	2021	2020	2021	2020	2020-21
Revenues:							
Program revenues:							
Charges for service	\$ 967,308	1,135,567	73,020	256,228	1,040,328	1,391,795	-25.25%
Operating grants, contributions and restricted interest	9,013,723	7,175,619	1,432,838	1,253,669	10,446,561	8,429,288	23.93%
General revenues:							
Property tax	15,420,953	14,669,263	-	-	15,420,953	14,669,263	5.12%
Statewide sales, services and use tax	4,080,613	4,291,152	-	-	4,080,613	4,291,152	-4.91%
Unrestricted state grants	29,856,462	29,156,463	-	-	29,856,462	29,156,463	2.40%
Unrestricted investment earnings	123,246	428,442	17	6,432	123,263	434,874	-71.66%
Other	113,659	135,303	28,865	22,535	142,524	157,838	-9.70%
Total revenues	59,575,964	56,991,809	1,534,740	1,538,864	61,110,704	58,530,673	4.41%
Program expenses:							
Instruction	36,219,470	35,613,236	63,280	-	36,282,750	35,613,236	1.88%
Support services	15,512,042	14,623,465	-	-	15,512,042	14,623,465	6.08%
Non-instructional programs	28,397	23,010	1,498,025	1,750,854	1,526,422	1,773,864	-13.95%
Other expenses	4,664,207	4,711,418	-	-	4,664,207	4,711,418	-1.00%
Total expenses	56,424,116	54,971,129	1,561,305	1,750,854	57,985,421	56,721,983	2.23%
Excess (Deficiency) of revenues over (under) expenses	3,151,848	2,020,680	(26,565)	(211,990)	3,125,283	1,808,690	72.79%
Transfers	(170,409)	-	170,409	-	-	-	0.00%
Change in net position	2,981,439	2,020,680	143,844	(211,990)	3,125,283	1,808,690	72.79%
Net position beginning of year	60,550,622	58,529,942	136,760	348,750	60,687,382	58,878,692	3.07%
Net position end of year	\$ 63,532,061	60,550,622	280,604	136,760	63,812,665	60,687,382	5.15%

In fiscal year 2021, property tax, statewide sales, services and use tax and unrestricted state grants accounted for 82.85% of the governmental activities revenues while charges for service and operating grants, contributions and unrestricted interest accounted for 98.12% of the business type activities revenues.

The District's total revenues were approximately \$61.11 million, of which approximately \$59.58 million was for governmental activities and approximately \$1.53 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 4.41% increase in revenues and a 2.23% increase in expenses. The primary reason for the increase in revenues was an increase in operating grants, contributions and restricted interest received. The increase in expenses occurred mainly in the support services functional area compared to the prior year.

Governmental Activities

Revenues for governmental activities were \$59,575,964 and expenses were \$56,424,116 for the year ended June 30, 2021.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2021 compared to those expenses for the year ended June 30, 2020.

Figure A-5 Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2021	2020	Change 2020-21	2021	2020	Change 2020-21
Instruction	\$ 36,219,470	35,613,236	1.70%	29,536,300	30,117,590	-1.93%
Support services	15,512,042	14,623,465	6.08%	14,223,256	13,801,330	3.06%
Non-instructional programs	28,397	23,010	23.41%	12,685	14,240	-10.92%
Other expenses	4,664,207	4,711,418	-1.00%	2,670,844	2,726,783	-2.05%
Total	<u>\$ 56,424,116</u>	<u>54,971,129</u>	<u>2.64%</u>	<u>46,443,085</u>	<u>46,659,943</u>	<u>-0.46%</u>

For the year ended June 30, 2021:

- The cost financed by users of the District's programs was \$967,308.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling \$9,013,723.
- The net cost of governmental activities was financed with \$15,420,953 in property tax, \$4,080,613 in statewide sales, services and use tax, \$29,856,462 in unrestricted state grants, \$123,246 in interest income, and \$113,659 in other general revenues

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2021 were \$1,534,740, a 0.27% decrease from the prior year, and expenses were \$1,561,305, a 10.83% decrease from the prior year. The District's business type activities include the School Nutrition Fund, Corse Early Childhood Center Fund and Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$32,032,772, above last year's ending combined fund balances of \$29,080,160. The increase in combined fund balances is largely due to the increase in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The District's General Fund financial position is the product of many factors. The General Fund balance increased from \$13,373,846 at June 30, 2020 to \$14,133,884 at June 30, 2021. Total revenues increased from the prior year primarily due to increases in federal sources while total expenditures increased due primarily to increases in instruction expenditures incurred compared to the previous year.
- The Capital Projects Fund balance increased from \$8,196,884 at June 30, 2020 to \$9,352,574 at June 30, 2021. Revenues and expenditures decreased from the prior year. However, revenues outpaced expenditures leading to the increase in fund balance.

Proprietary Fund Highlights

The School Nutrition Fund net position increased from \$105,661 at June 30, 2020 to \$127,834 at June 30, 2021, representing an increase of 20.99%. Revenues from charges for service decreased \$184,408 from the prior year as total expenses decreased compared to the prior year. The net position of the Corse Early Childhood Center Fund increased from \$0 at June 30, 2020 to \$123,046 at June 30, 2021. The net position of the Student Construction Fund decreased from \$31,099 at June 30, 2020 to \$29,724 at June 30, 2021.

BUDGETARY HIGHLIGHTS

The District's revenues were \$828,492 more than budgeted revenues, a variance of 1.37%. The most significant dollar variance resulted from the District receiving more from federal sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2021, the District had invested approximately \$71.49 million, net of accumulated depreciation, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net decrease of 2.11% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense for the year was \$2,594,611.

The original cost of the District's capital assets was approximately \$121.96 million. Governmental activities accounted for approximately \$121.24 million of the total with the remainder of approximately \$0.72 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the buildings category. The District's buildings, net of accumulated depreciation, totaled \$63,565,192 at June 30, 2021, compared to \$65,147,431 reported at June 30, 2020. This decrease resulted primarily from the annual depreciation expense recognized during the year.

Figure A-6							
Capital Assets, Net of Depreciation							
	Governmental		Business Type		Total		Total
	Activities		Activities		District		Change
	June 30,		June 30,		June 30,		June 30,
	2021	2020	2021	2020	2021	2020	2020-21
Land	\$ 3,022,794	3,036,734	-	-	3,022,794	3,036,734	-0.46%
Construction in progress	365,699	104,777	-	-	365,699	104,777	249.03%
Buildings	63,565,192	65,147,431	-	-	63,565,192	65,147,431	-2.43%
Land improvements	1,256,586	1,193,998	-	-	1,256,586	1,193,998	5.24%
Machinery and equipment	3,180,484	3,427,553	94,880	119,572	3,275,364	3,547,125	-7.66%
Total	\$ 71,390,755	72,910,493	94,880	119,572	71,485,635	73,030,065	-2.11%

Long-Term Debt

At June 30, 2021, the District had \$18,270,000 of total long-term debt outstanding. This represents a decrease of 9.73% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$18,270,000 at June 30, 2021, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

Figure A-7			
Outstanding Long-Term Obligations			
Total District		Total Change	
June 30,		June 30,	
2021	2020	2020-21	
Revenue bonds	\$ 18,270,000	20,240,000	-9.73%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2021 at 2.3%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. As approximately 80% of the District's General Fund budget is comprised of salary and benefits, wage and salary adjustments realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment continues to decline every year, with the district losing 172.5 students with the October 2020 Certified enrollment. The District is averaging a loss of 106 students each of the last seven years. In 2013 the certified enrollment was 4,655 students and is now at 3,913, a reduction of 742 fewer students. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- Iowa Governor Kim Reynolds issued a proclamation on March 13, 2020 closing all schools due to Covid-19 for the school year ending June 30, 2020. School districts were required to submit a Return to Learn plan for the 2020-2021 school year which included in-person, hybrid and virtual programs.
- The Covid-19 pandemic is having a significant negative impact on the economy. The effect on State revenues and therefore school funding is uncertain and there may be a negative impact on the District's enrollment and funding due to the impact on the economy. As costs continue to increase while projected revenues will continue to decline over the next five years, the District will need to explore options to maintain a balanced budget in the foreseeable future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.



Burlington Community School District

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2021

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 38,896,016	561,832	39,457,848
Receivables:			
Property tax:			
Delinquent	186,625	-	186,625
Succeeding year	15,289,366	-	15,289,366
Accounts	7,866	-	7,866
Due from other governments	3,061,075	250,112	3,311,187
Inventories	-	31,322	31,322
Prepaid expenses	6,750	-	6,750
Capital assets not being depreciated:			
Land and construction in progress	3,388,493	-	3,388,493
Capital assets, net of accumulated depreciation:			
Buildings and land improvements and machinery and equipment	68,002,262	94,880	68,097,142
Total assets	128,838,453	938,146	129,776,599
Deferred Outflows of Resources			
Pension related deferred outflows	5,223,865	126,612	5,350,477
OPEB related deferred outflows	719,622	3,761	723,383
Total deferred outflows of resources	5,943,487	130,373	6,073,860
Liabilities			
Accounts payable	3,904,365	30,615	3,934,980
Salaries and benefits payable	5,016,765	43,249	5,060,014
Unearned revenue	-	22,292	22,292
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	2,040,000	-	2,040,000
Compensated absences	211,600	5,174	216,774
Portion due after one year:			
Revenue bonds	16,230,000	-	16,230,000
Net pension liability	24,063,630	624,613	24,688,243
Total OPEB liability	2,491,167	13,022	2,504,189
Total liabilities	53,957,527	738,965	54,696,492
Deferred Inflows of Resources			
Unavailable property tax revenue	15,289,366	-	15,289,366
Pension related deferred inflows	1,856,291	48,183	1,904,474
OPEB related deferred inflows	146,695	767	147,462
Total deferred inflows of resources	17,292,352	48,950	17,341,302
Net Position			
Net investment in capital assets	53,120,755	94,880	53,215,635
Restricted for:			
Categorical funding	1,513,116	-	1,513,116
Debt service	4,099,169	-	4,099,169
Management levy purposes	3,399,859	-	3,399,859
Student activities	312,881	-	312,881
Support trust purposes	734,405	-	734,405
School infrastructure	7,855,395	-	7,855,395
Physical plant and equipment	1,497,179	-	1,497,179
Unrestricted	(9,000,698)	185,724	(8,814,974)
Total net position	\$ 63,532,061	280,604	63,812,665

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2021**

	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Service	Operating Grants, Contributions and Restricted Interest	Governmental Activities	Business Type Activities	Total
Functions/Programs:						
Governmental activities:						
Instruction:						
Regular	\$ 21,833,763	514,561	1,945,021	(19,374,181)	-	(19,374,181)
Special	8,793,242	253,628	1,207,517	(7,332,097)	-	(7,332,097)
Other	5,592,465	198,961	2,563,482	(2,830,022)	-	(2,830,022)
	<u>36,219,470</u>	<u>967,150</u>	<u>5,716,020</u>	<u>(29,536,300)</u>	<u>-</u>	<u>(29,536,300)</u>
Support services:						
Student	2,253,296	-	277,053	(1,976,243)	-	(1,976,243)
Instructional staff	1,939,186	-	309,280	(1,629,906)	-	(1,629,906)
Administration	5,450,610	-	197,619	(5,252,991)	-	(5,252,991)
Operation and maintenance of plant	4,570,442	-	214,048	(4,356,394)	-	(4,356,394)
Transportation	1,298,508	158	290,628	(1,007,722)	-	(1,007,722)
	<u>15,512,042</u>	<u>158</u>	<u>1,288,628</u>	<u>(14,223,256)</u>	<u>-</u>	<u>(14,223,256)</u>
Non-instructional programs:						
Food service operations	8,869	-	-	(8,869)	-	(8,869)
Community service operations	19,528	-	15,712	(3,816)	-	(3,816)
	<u>28,397</u>	<u>-</u>	<u>15,712</u>	<u>(12,685)</u>	<u>-</u>	<u>(12,685)</u>
Long-term debt interest	<u>774,869</u>	<u>-</u>	<u>-</u>	<u>(774,869)</u>	<u>-</u>	<u>(774,869)</u>
Other expenditures:						
AEA flowthrough	1,993,363	-	1,993,363	-	-	-
Depreciation (unallocated)*	1,895,975	-	-	(1,895,975)	-	(1,895,975)
	<u>3,889,338</u>	<u>-</u>	<u>1,993,363</u>	<u>(1,895,975)</u>	<u>-</u>	<u>(1,895,975)</u>
Total governmental activities	<u>56,424,116</u>	<u>967,308</u>	<u>9,013,723</u>	<u>(46,443,085)</u>	<u>-</u>	<u>(46,443,085)</u>
Business type activities:						
Instruction:						
Regular	61,905	1,200	168,750	-	108,045	108,045
Other	1,375	-	-	-	(1,375)	(1,375)
	<u>63,280</u>	<u>1,200</u>	<u>168,750</u>	<u>-</u>	<u>106,670</u>	<u>106,670</u>
Non-instructional programs:						
Food service operations	1,498,025	71,820	1,264,088	-	(162,117)	(162,117)
Total business type activities	<u>1,561,305</u>	<u>73,020</u>	<u>1,432,838</u>	<u>-</u>	<u>(55,447)</u>	<u>(55,447)</u>
Total	<u>\$ 57,985,421</u>	<u>1,040,328</u>	<u>10,446,561</u>	<u>(46,443,085)</u>	<u>(55,447)</u>	<u>(46,498,532)</u>
General Revenues and Transfers:						
Property tax levied for:						
General purposes				\$ 14,227,975	-	14,227,975
Capital outlay				1,192,978	-	1,192,978
Statewide sales, services and use tax				4,080,613	-	4,080,613
Unrestricted state grants				29,856,462	-	29,856,462
Unrestricted investment earnings				123,246	17	123,263
Other				113,659	28,865	142,524
Transfers				(170,409)	170,409	-
Total general revenues and transfers				<u>49,424,524</u>	<u>199,291</u>	<u>49,623,815</u>
Change in net position				2,981,439	143,844	3,125,283
Net position beginning of year				60,550,622	136,760	60,687,382
Net position end of year				<u>\$ 63,532,061</u>	<u>280,604</u>	<u>63,812,665</u>

* This amount excludes the depreciation that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2021

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 18,708,858	9,014,591	9,964,478	37,687,927
Receivables:				
Property tax:				
Delinquent	147,770	13,201	25,654	186,625
Succeeding year	12,430,350	1,159,012	1,700,004	15,289,366
Accounts	7,866	-	-	7,866
Due from other governments	2,719,615	341,460	-	3,061,075
Prepaid expenses	6,750	-	-	6,750
Total assets	\$ 34,021,209	10,528,264	11,690,136	56,239,609
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 2,440,743	16,678	1,443,285	3,900,706
Salaries and benefits payable	5,016,232	-	533	5,016,765
Total liabilities	7,456,975	16,678	1,443,818	8,917,471
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	12,430,350	1,159,012	1,700,004	15,289,366
Fund balances:				
Nonspendable	6,750	-	-	6,750
Restricted for:				
Categorical funding	1,513,116	-	-	1,513,116
Debt service	-	-	4,099,169	4,099,169
Management levy purposes	-	-	3,399,859	3,399,859
Student activities	-	-	312,881	312,881
Support trust purposes	-	-	734,405	734,405
School infrastructure	-	7,855,395	-	7,855,395
Physical plant and equipment	-	1,497,179	-	1,497,179
Assigned for special purposes	203,863	-	-	203,863
Unassigned	12,410,155	-	-	12,410,155
Total fund balances	14,133,884	9,352,574	8,546,314	32,032,772
Total liabilities, deferred inflows of resources and fund balances	\$ 34,021,209	10,528,264	11,690,136	56,239,609

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF NET POSITION
 JUNE 30, 2021

Total fund balances of governmental funds (page 20) \$ 32,032,772

***Amounts reported for governmental activities in the Statement of Net Position
 are different because:***

Capital assets used in governmental activities are not financial resources and,
 therefore, are not reported as assets in the governmental funds. 71,390,755

Blending of the Internal Service Funds to be reflected on an entity-wide basis. 1,204,430

Pension and OPEB related deferred outflows of resources and deferred inflows of
 resources are not due and payable in the current year and, therefore, are not reported
 in the governmental funds, as follows:

Deferred outflows of resources	\$ 5,943,487	
Deferred inflows of resources	<u>(2,002,986)</u>	3,940,501

Long-term liabilities, including revenue bonds, compensated absences payable,
 net pension liability, and total OPEB liability are not due and payable in the current
 year and, therefore, are not reported in the governmental funds. (45,036,397)

Net position of governmental activities (page 18) \$ 63,532,061

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2021

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 12,124,679	1,192,978	2,103,296	15,420,953
Tuition	632,202	-	-	632,202
Other	341,832	19,893	253,256	614,981
State sources	32,498,935	4,096,059	29,637	36,624,631
Federal sources	6,283,197	-	-	6,283,197
Total revenues	51,880,845	5,308,930	2,386,189	59,575,964
Expenditures:				
Current:				
Instruction:				
Regular	21,368,887	18,499	386,916	21,774,302
Special	8,508,522	-	-	8,508,522
Other	5,137,182	-	200,836	5,338,018
	35,014,591	18,499	587,752	35,620,842
Support services:				
Student	2,099,370	-	8,222	2,107,592
Instructional staff	1,792,812	286,877	7,380	2,087,069
Administration	5,226,285	31,277	91,589	5,349,151
Operation and maintenance of plant	3,802,323	364,936	518,734	4,685,993
Transportation	1,124,854	67,777	94,230	1,286,861
	14,045,644	750,867	720,155	15,516,666
Non-instructional programs:				
Food service operations	-	-	8,869	8,869
Community service operations	19,528	-	-	19,528
	19,528	-	8,869	28,397
Capital outlay	-	714,240	-	714,240
Long-term debt:				
Principal	-	-	1,970,000	1,970,000
Interest and fiscal charges	-	-	774,869	774,869
	-	-	2,744,869	2,744,869
Other expenditures:				
AEA flowthrough	1,993,363	-	-	1,993,363
Total expenditures	51,073,126	1,483,606	4,061,645	56,618,377
Excess (Deficiency) of revenues over (under) expenditures	807,719	3,825,324	(1,675,456)	2,957,587
Other financing sources (uses):				
Insurance proceeds	112,001	28,780	-	140,781
Proceeds from the sale of equipment	10,727	13,926	-	24,653
Transfer in	-	-	2,712,340	2,712,340
Transfer out	(170,409)	(2,712,340)	-	(2,882,749)
Total other financing sources (uses)	(47,681)	(2,669,634)	2,712,340	(4,975)
Change in fund balances	760,038	1,155,690	1,036,884	2,952,612
Fund balances beginning of year	13,373,846	8,196,884	7,509,430	29,080,160
Fund balances end of year	\$ 14,133,884	9,352,574	8,546,314	32,032,772

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF ACTIVITIES
 YEAR ENDED JUNE 30, 2021

Change in fund balances - total governmental funds (page 22) \$ 2,952,612

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. Capital outlay expenditures, depreciation expense and loss on disposal in the current year are as follows:

Capital outlay	\$ 1,062,712	
Depreciation expense	(2,568,267)	
Loss on disposal	<u>(14,183)</u>	(1,519,738)

Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in Statement of Net Position.	1,970,000
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Net change in the Internal Service Funds charged back against expenditures made for self-funded insurance on an entity-wide basis.	256,825
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The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.	2,594,722
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Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	8,188	
Pension expense	(3,222,721)	
Total OPEB liability and related expenses	<u>(58,449)</u>	(3,272,982)

Change in net position of governmental activities (page 19) \$ 2,981,439

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2021

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service Funds
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Assets					
Current assets:					
Cash and pooled investments	\$ 404,898	127,210	29,724	561,832	1,208,089
Due from other governments	250,112	-	-	250,112	-
Inventories	31,322	-	-	31,322	-
Total current assets	686,332	127,210	29,724	843,266	1,208,089
Noncurrent assets:					
Capital assets, net of accumulated depreciation	94,880	-	-	94,880	-
Total assets	781,212	127,210	29,724	938,146	1,208,089
Deferred Outflows of Resources					
Pension related deferred outflows	126,612	-	-	126,612	-
OPEB related deferred outflows	3,761	-	-	3,761	-
Total Deferred Outflows of Resources	130,373	-	-	130,373	-
Liabilities					
Current liabilities:					
Accounts payable	26,451	4,164	-	30,615	3,659
Salaries and benefits payable	43,249	-	-	43,249	-
Unearned revenue	22,292	-	-	22,292	-
Total current liabilities	91,992	4,164	-	96,156	3,659
Noncurrent liabilities:					
Compensated absences	5,174	-	-	5,174	-
Net pension liability	624,613	-	-	624,613	-
Total OPEB liability	13,022	-	-	13,022	-
Total noncurrent liabilities	642,809	-	-	642,809	-
Total liabilities	734,801	4,164	-	738,965	3,659
Deferred Inflows of Resources					
Pension related deferred inflows	48,183	-	-	48,183	-
OPEB related deferred inflows	767	-	-	767	-
Total Deferred Inflows of Resources	48,950	-	-	48,950	-
Net Position					
Net investment in capital assets	94,880	-	-	94,880	-
Unrestricted	32,954	123,046	29,724	185,724	1,204,430
Total net position	\$ 127,834	123,046	29,724	280,604	1,204,430

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2021

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service Funds
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Operating revenues:					
Local sources:					
Charges for service	\$ 71,820	1,200	-	73,020	6,923,325
Miscellaneous	13,865	15,000	-	28,865	-
Total operating revenues	85,685	16,200	-	101,885	6,923,325
Operating expenses:					
Instruction:					
Regular:					
Services	-	464	-	464	-
Supplies	-	61,441	-	61,441	-
	-	61,905	-	61,905	-
Other:					
Supplies	-		1,375	1,375	-
Total instruction	-	61,905	1,375	63,280	-
Support Services:					
Administration:					
Services	-	-	-	-	6,103,420
Non-instructional programs:					
Food service operations:					
Salaries	607,587	-	-	607,587	-
Benefits	183,077	-	-	183,077	-
Supplies	680,823	-	-	680,823	-
Depreciation	26,344	-	-	26,344	-
Other	194	-	-	194	-
	1,498,025	-	-	1,498,025	-
Other enterprise operations:					
Benefits	-	-	-	-	563,080
Total non-instructional programs	1,498,025	-	-	1,498,025	563,080
Total operating expenses	1,498,025	61,905	1,375	1,561,305	6,666,500
Operating income (loss)	(1,412,340)	(45,705)	(1,375)	(1,459,420)	256,825
Non-operating revenues:					
State sources	6,996	168,750	-	175,746	-
Federal sources	1,257,092	-	-	1,257,092	-
Interest income	16	1	-	17	-
Total non-operating revenues	1,264,104	168,751	-	1,432,855	-
Change in net position before other financing sources	(148,236)	123,046	(1,375)	(26,565)	256,825
Other financing sources:					
Transfer in	170,409	-	-	170,409	-
Change in net position	22,173	123,046	(1,375)	143,844	256,825
Net position beginning of year	105,661	-	31,099	136,760	947,605
Net position end of year	\$ 127,834	123,046	29,724	280,604	1,204,430

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2021**

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service Funds	
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Cash flows from operating activities:					
Cash received from sale of lunches and breakfasts	\$ 15,211	-	-	15,211	-
Cash received from sales to other entities	58,712	-	-	58,712	-
Cash received from child care operations	-	1,200	-	1,200	-
Cash received from miscellaneous	13,865	15,000	-	28,865	6,923,325
Cash payments to employees for services	(744,652)	-	-	(744,652)	-
Cash payments to suppliers for goods or services	(621,930)	(57,741)	(1,375)	(681,046)	(6,662,841)
Net cash provided by (used in) operating activities	(1,278,794)	(41,541)	(1,375)	(1,321,710)	260,484
Cash flows from non-capital financing activities:					
Transfer from General Fund	170,409	-	-	170,409	-
State grants received	5,274	168,750	-	174,024	-
Federal grants received	980,669	-	-	980,669	-
Net cash provided by non-capital financing activities	1,156,352	168,750	-	1,325,102	-
Cash flows from capital and related financing activities:					
Purchase of capital assets	(1,652)	-	-	(1,652)	-
Cash flows from investing activities:					
Interest on investments	16	1	-	17	-
Net increase (decrease) in cash and pooled investments	(124,078)	127,210	(1,375)	1,757	260,484
Cash and pooled investments beginning of year	528,976	-	31,099	560,075	947,605
Cash and pooled investments end of year	\$ 404,898	127,210	29,724	561,832	1,208,089
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (1,412,340)	(45,705)	(1,375)	(1,459,420)	256,825
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Commodities consumed	28,033	-	-	28,033	-
Depreciation	26,344	-	-	26,344	-
Change in assets and liabilities:					
Inventories	33,702	-	-	33,702	-
Accounts payable	(2,648)	4,164	-	1,516	3,659
Salaries and benefits payable	(8,012)	-	-	(8,012)	-
Net pension liability	114,739	-	-	114,739	-
Deferred outflows of resources	(2,305)	-	-	(2,305)	-
Deferred inflows of resources	(55,529)	-	-	(55,529)	-
Unearned revenue	2,103	-	-	2,103	-
Compensated absences	(1,187)	-	-	(1,187)	-
Total OPEB liability	(1,694)	-	-	(1,694)	-
Net cash provided by (used in) operating activities	\$ (1,278,794)	(41,541)	(1,375)	(1,321,710)	260,484

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2021, the District received \$28,033 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2021

	Private Purpose Trust Scholarship
Assets	
Cash and pooled investments	\$ 85,794
Liabilities	-
Net Position	
Held in trust for scholarships	\$ 85,794

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2021

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Gifts and contributions	\$ 2,820
Interest income	371
Total additions	<u>3,191</u>
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	<u>1,250</u>
Change in net position	1,941
Net position beginning of year	<u>83,853</u>
Net position end of year	<u><u>\$ 85,794</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2021

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors' Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Corse Early Childhood Center Fund is used to account for the daycare operations of the District.

The Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the flexible health program offered by the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/ Net Position

The following accounting policies are followed in preparing the financial statements:

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2019 assessed property valuations; is for the tax accrual period July 1, 2020 through June 30, 2021 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2020.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and other payments for services not yet provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery and equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Buildings	\$ 5,000
Land improvements	5,000
Intangibles	100,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	5,000

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Machinery and equipment	5 to 12 years

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension and OPEB expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Advances from Grantors - Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2021. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund while the portion attributable to the business type activities will be paid primarily by the Enterprise, School Nutrition and Child Care Funds.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) Cash and Pooled Investments

The District's deposits in banks at June 30, 2021 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2021, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of \$18,407,476, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services.

(3) Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2021 is as follows:

Transfer to	Transfer from	Amount
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	\$ 2,712,340
Enterprise Fund: School Nutrition	General	170,409
Total		<u>\$ 2,882,749</u>

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

The transfer from the General Fund to the Enterprise Fund: School Nutrition was for federal money to support the nutrition fund.

(4) Construction Commitments

The District has entered into various contracts for a classroom remodel, GPS systems, district wide cameras and counselors rooms project. As of June 30, 2021, costs of \$365,699 had been incurred against the contracts. The balance will be paid as work on the project progresses.

(5) Capital Assets

Capital assets activity for the year ended June 30, 2021 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 3,036,734	-	13,940	3,022,794
Construction in progress	104,777	429,496	168,574	365,699
Total capital assets not being depreciated	3,141,511	429,496	182,514	3,388,493
Capital assets being depreciated:				
Buildings	94,336,995	234,270	-	94,571,265
Land improvements	2,127,316	142,054	-	2,269,370
Machinery and equipment	20,839,550	425,466	253,110	21,011,906
Total capital assets being depreciated	117,303,861	801,790	253,110	117,852,541
Less accumulated depreciation for:				
Buildings	29,189,564	1,816,509	-	31,006,073
Land improvements	933,318	79,466	-	1,012,784
Machinery and equipment	17,411,997	672,292	252,867	17,831,422
Total accumulated depreciation	47,534,879	2,568,267	252,867	49,850,279
Total capital assets being depreciated, net	69,768,982	(1,766,477)	243	68,002,262
Governmental activities capital assets, net	\$ 72,910,493	(1,336,981)	182,757	71,390,755
Business type activities:				
Machinery and equipment	\$ 717,542	1,652	-	719,194
Less accumulated depreciation	597,970	26,344	-	624,314
Business type activities capital assets, net	\$ 119,572	(24,692)	-	94,880

Depreciation expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	\$ 182,676
Support services:	
Administration	66,464
Operation and maintenance of plant	161,114
Transportation	262,038
	672,292
Unallocated depreciation	1,895,975
Total governmental activities depreciation expense	\$ 2,568,267
Business type activities:	
Food service operations	\$ 26,344

(6) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2021 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 20,240,000	-	1,970,000	18,270,000	2,040,000
Compensated absences	219,788	211,600	219,788	211,600	211,600
Net pension liability	20,734,885	3,328,745	-	24,063,630	-
Total OPEB liability	2,479,579	11,588	-	2,491,167	-
Total	<u>\$ 43,674,252</u>	<u>3,551,933</u>	<u>2,189,788</u>	<u>45,036,397</u>	<u>2,251,600</u>

Business type activities:

Compensated absences	\$ 6,361	5,174	6,361	5,174	5,174
Net pension liability	509,874	114,739	-	624,613	-
Total OPEB liability	14,716	-	1,694	13,022	-
Total	<u>\$ 530,951</u>	<u>119,913</u>	<u>8,055</u>	<u>642,809</u>	<u>5,174</u>

Revenue Bonds

Details of the District's June 30, 2021 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bond issue of December 12, 2012 Partial Advance Refunding 2009 Series A&B			Bond issue of March 1, 2009 Series A		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2022	2.00 %	\$ 250,000	205,160	4.60 %	\$ 870,000	241,506
2023	2.10	260,000	200,045	4.70	910,000	200,111
2024	2.25	275,000	194,431	4.80	950,000	155,926
2025	2.38	285,000	188,100	4.00	1,000,000	108,626
2026	2.38	305,000	181,213	5.00	1,045,000	58,001
2027-2029	2.50-3.00	6,630,000	317,063	5.10	625,000	15,938
Total		<u>\$ 8,005,000</u>	<u>1,286,011</u>		<u>\$ 5,400,000</u>	<u>780,108</u>

Year Ending June 30,	Bond issue of March 1, 2009 Series B			Bond Issue December 1, 2009 Series C			Total		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest	Principal	Interest	Total
2022	4.65 %	\$ 825,000	223,788	4.50 %	\$ 95,000	11,588	2,040,000	717,292	2,757,292
2023	4.80	850,000	185,426	4.50	90,000	7,313	2,110,000	639,405	2,749,405
2024	4.90	875,000	144,626	4.50	95,000	3,263	2,195,000	548,045	2,743,045
2025	5.00	1,000,000	101,750	-	-	-	2,285,000	452,107	2,737,107
2026	5.00	1,035,000	51,750	-	-	-	2,385,000	348,476	2,733,476
2027-2029	-	-	-	-	-	-	7,255,000	572,214	7,827,214
Total		<u>\$ 4,585,000</u>	<u>707,340</u>		<u>\$ 280,000</u>	<u>22,163</u>	<u>18,270,000</u>	<u>3,277,538</u>	<u>21,547,538</u>

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds issued in March and December 2009 and December 2012. The bonds were issued for the purpose of building and furnishing a new middle school and refunding outstanding project notes and bonds issued for said purpose. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2029. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 68% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$21,547,538.

For the current year \$1,970,000 in principal and \$766,869 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$4,080,613.

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) \$3,433,640 of the proceeds from the issuance of the revenue bonds shall be deposited to the reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- b) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c) Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d) Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

(7) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability

or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2021, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2021 were \$2,653,090.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2021, the District reported a liability of \$24,688,243 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2020 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2020, the District's proportion was 0.351447%, which was a decrease of 0.015433% from its proportion measured as of June 30, 2019.

For the year ended June 30, 2021, the District recognized pension expense of \$3,337,309. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 27,274	585,174
Changes of assumptions	1,267,239	-
Net difference between projected and actual earnings on IPERS' investments	1,387,872	-
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	15,002	1,319,300
District contributions subsequent to the measurement date	2,653,090	-
Total	<u>\$ 5,350,477</u>	<u>1,904,474</u>

\$2,653,090 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2022	\$ (140,233)
2023	108,458
2024	243,452
2025	645,751
2026	(64,515)
Total	<u>\$ 792,913</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2020 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2019.

Mortality rates used in the 2020 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	4.43%
International equity	17.5	5.15
Global smart beta equity	6.0	4.87
Core plus fixed income	28.0	(0.29)
Public credit	4.0	2.29
Cash	1.0	(0.78)
Private equity	11.0	6.54
Private real assets	7.5	4.48
Private credit	3.0	3.11
Total	<u>100.0%</u>	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS'

fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 41,165,562	24,688,243	10,872,263

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

(8) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability. The District also offers a voluntary early retirement plan that provides District contributions to individual accounts for eligible medical expenses, which results in a direct subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At July 1, 2020, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	42
Active employees	579
Total	621

Total OPEB Liability - The District's total OPEB liability of \$2,504,189 was measured as of June 30, 2021, and was determined by an actuarial valuation dated July 1, 2020.

Actuarial Assumptions - The total OPEB liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation	2.60% per annum.
Rates of salary increase	3.25-16.25% variable based upon years of service, including inflation.
Discount rate	2.16% compounded annually, including inflation.
Healthcare cost trend rate	7.00% for FY2021 decreasing to an ultimate rate of 4.00% in 2033.

Discount Rate - The discount rate used to measure the total OPEB liability was 2.16% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Pre-retirement mortality rates are from the RP-2014 Employee Table, projected generationally using MP-2017. Post-retirement mortality rates are from the RP-2014 Healthy Annuitant Table, projected generationally using MP-2017. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Total OPEB liability beginning of year	\$ 2,494,295
Changes for the year:	
Service cost	202,917
Interest	58,669
Differences between expected and actual experiences	(136,321)
Changes in assumptions	158,706
Benefit payments	<u>(274,077)</u>
Net changes	<u>9,894</u>
Total OPEB liability end of year	<u>\$ 2,504,189</u>

Changes of assumptions reflect a change in the discount rate from 2.21% in fiscal year 2020 to 2.16% in fiscal year 2021.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate 1% lower (1.16%) or 1% higher (3.16%) than the current discount rate.

	1% Decrease (1.16%)	Discount Rate (2.16%)	1% Increase (3.16%)
Total OPEB liability	\$ 2,677,187	2,504,189	2,338,547

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (6.00%) or 1% higher (8.00%) than the current healthcare cost trend rates.

	1% Decrease (6.00%)	Healthcare Cost Trend Rate (7.00%)	1% Increase (8.00%)
Total OPEB liability	\$ 2,293,351	2,504,189	2,754,011

OPEB Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2021, the District recognized OPEB expense of \$331,517. At June 30, 2021, the District reported deferred inflows of resources related to OPEB from the following resources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ 262,189	123,764
Changes in assumptions	461,194	23,698
Total	<u>\$ 723,383</u>	<u>147,462</u>

The amount reported as deferred outflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2022	\$ 69,931
2023	69,931
2024	69,931
2025	69,931
2026	69,931
Thereafter	<u>226,266</u>
Total	<u><u>\$ 575,921</u></u>

(9) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$1,993,363 for the year ended June 30, 2021 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(10) Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(11) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2021.

Program	Amount
Home School Assistance Program (HSAP)	\$ 228,976
Gifted and Talented Programs	92,670
Teacher Leadership State Aid	296,691
Four-Year-Old Preschool State Aid	594,301
FLEXIBILITY Account Excess Professional Development	60,000
FLEXIBILITY Acct. Excess SW Voluntary Preschool	45,871
Beginning Teacher Mentoring and Induction	630
Textbook Aid for Nonpublic Students	4,019
Successful Progression for Early Readers	52,431
Professional Development for Model Core Curriculum	38,166
Professional Development	99,361
Total	<u><u>\$ 1,513,116</u></u>

(12) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	12,410,155
Capital assets, net of accumulated depreciation	71,390,755	-
Revenue bond capitalized indebtedness	(18,270,000)	-
Prepaid expenses	-	6,750
Internal service fund balance	-	1,204,430
Compensated absences	-	(211,600)
Pension related deferred outflows	-	5,223,865
Pension related deferred inflows	-	(1,856,291)
Net pension liability	-	(24,063,630)
Total OPEB liability	-	(2,491,167)
OPEB related deferred outflows	-	719,622
OPEB related deferred inflows	-	(146,695)
Assigned fund balance	-	203,863
Net position (Exhibit A)	<u>\$ 53,120,755</u>	<u>(9,000,698)</u>

(13) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the City of West Burlington and Des Moines County offered an urban revitalization tax abatement program pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2021 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban Renewal and Economic Development Projects	\$ 451,706
City of West Burlington	Urban Renewal and Economic Development Projects	29,255
City of West Burlington	Urban Revitalization	97,649
Des Moines County	Urban Revitalization	122,115

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2021, this reimbursement amounted to \$221,533.

(14) COVID-19

In March 2020, the COVID-19 outbreak was declared a global pandemic. The disruption to businesses across a range of industries in the United States continues to evolve. The full impact to local, regional and national economies, including that of the Burlington Community School District, remains uncertain.

To date, the outbreak has not created a material disruption to the operations of Burlington Community School District. However, the extent of the financial impact of COVID-19 will depend on future developments, including the spread of the virus, duration and timing of the economic recovery. Due to these uncertainties, management cannot reasonably estimate the potential impact to Burlington Community School District.

(15) Prospective Accounting Change

Governmental Accounting Standards Board has issued Statement No. 87, Leases. This statement will be implemented for the fiscal year ending June 30, 2022. The revised requirements of this statement will require reporting of certain potentially significant lease liabilities that are not currently reported.

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2021

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 16,668,136	101,902	16,770,038	17,405,340	17,405,340	(635,302)
State sources	36,624,631	175,746	36,800,377	37,526,872	37,526,872	(726,495)
Federal sources	6,283,197	1,257,092	7,540,289	5,350,000	5,350,000	2,190,289
Total revenues	59,575,964	1,534,740	61,110,704	60,282,212	60,282,212	828,492
Expenditures/Expenses:						
Instruction	35,620,842	63,280	35,684,122	36,880,000	36,880,000	1,195,878
Support services	15,516,666	-	15,516,666	17,965,000	17,965,000	2,448,334
Non-instructional programs	28,397	1,498,025	1,526,422	1,955,000	1,955,000	428,578
Other expenditures	5,452,472	-	5,452,472	7,464,276	7,464,276	2,011,804
Total expenditures/expenses	56,618,377	1,561,305	58,179,682	64,264,276	64,264,276	6,084,594
Excess (Deficiency) of revenues over (under) expenditures/expenses	2,957,587	(26,565)	2,931,022	(3,982,064)	(3,982,064)	6,913,086
Other financing sources, net	(4,975)	170,409	165,434	100,000	100,000	65,434
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	2,952,612	143,844	3,096,456	(3,882,064)	(3,882,064)	6,978,520
Balances beginning of year	29,080,160	136,760	29,216,920	26,230,322	26,230,322	2,986,598
Balances end of year	\$ 32,032,772	280,604	32,313,376	22,348,258	22,348,258	9,965,118

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2021

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF
THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST SEVEN YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.351447%	0.366880%	0.337102%	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	\$ 24,688	21,245	23,479	25,490	25,057	19,713	16,120
District's covered payroll	\$ 27,934	27,924	27,912	25,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll	88.38%	76.08%	84.12%	99.62%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Statutorily required contribution	\$ 2,653	2,637	2,636	2,493	2,553	2,554	2,445	2,376	2,207	1,932
Contributions in relation to the statutorily required contribution	(2,653)	(2,637)	(2,636)	(2,493)	(2,553)	(2,554)	(2,445)	(2,376)	(2,207)	(1,932)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 28,104	27,934	27,924	27,912	25,586	28,595	27,385	26,607	25,456	23,941
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	8.93%	8.93%	8.93%	8.93%	8.93%	8.67%	8.07%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2021

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S
TOTAL OPEB LIABILITY, RELATED RATIOS AND NOTES
FOR THE LAST FOUR YEARS
REQUIRED SUPPLEMENTARY INFORMATION

	2021	2020	2019	2018
Service cost	\$ 202,917	138,145	146,369	122,623
Interest cost	58,669	83,124	89,959	64,098
Differences between expected and actual experiences	(136,321)	-	364,009	-
Changes in assumptions	158,706	191,623	221,278	(38,306)
Benefit payments	(274,077)	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability	9,894	104,675	670,572	(44,256)
Total OPEB liability beginning of year	2,494,295	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	<u>\$ 2,504,189</u>	<u>2,494,295</u>	<u>2,389,620</u>	<u>1,719,048</u>
Covered-employee payroll	\$ 26,193,199	24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll	9.56%	10.00%	9.66%	6.85%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Reporting period ended June 30, 2021	2.16%
Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.



Burlington Community School District

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2021

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Assets						
Cash and pooled investments	\$ 3,374,691	327,915	734,517	4,437,123	5,527,355	9,964,478
Receivables:						
Property tax:						
Delinquent	25,654	-	-	25,654	-	25,654
Succeeding year	1,700,004	-	-	1,700,004	-	1,700,004
Total assets	\$ 5,100,349	327,915	734,517	6,162,781	5,527,355	11,690,136
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	\$ 486	14,501	112	15,099	1,428,186	1,443,285
Salaries and benefits payable	-	533	-	533	-	533
Total liabilities	486	15,034	112	15,632	1,428,186	1,443,818
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property taxes	1,700,004	-	-	1,700,004	-	1,700,004
Fund balances:						
Restricted for:						
Debt service	-	-	-	-	4,099,169	4,099,169
Management levy purposes	3,399,859	-	-	3,399,859	-	3,399,859
Student activities	-	312,881	-	312,881	-	312,881
Support trust purposes	-	-	734,405	734,405	-	734,405
Total fund balances	3,399,859	312,881	734,405	4,447,145	4,099,169	8,546,314
Total liabilities, deferred inflows of resources and fund balances	\$ 5,100,349	327,915	734,517	6,162,781	5,527,355	11,690,136

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 2

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2021

	Special Revenue					
	Management Levy	Student Activity	Support Trust	Total	Debt Service	Total Nonmajor
Revenues:						
Local sources:						
Local tax	\$ 2,103,296	-	-	2,103,296	-	2,103,296
Other	24,502	200,348	25,920	250,770	2,486	253,256
State sources	29,637	-	-	29,637	-	29,637
Total revenues	2,157,435	200,348	25,920	2,383,703	2,486	2,386,189
Expenditures:						
Current:						
Instruction:						
Regular	355,191	-	31,725	386,916	-	386,916
Other	-	200,836	-	200,836	-	200,836
Support services:						
Student	8,222	-	-	8,222	-	8,222
Instructional staff	7,380	-	-	7,380	-	7,380
Administration	91,589	-	-	91,589	-	91,589
Operation and maintenance of plant	518,734	-	-	518,734	-	518,734
Transportation	94,230	-	-	94,230	-	94,230
Non-instructional programs:						
Food service operations	8,869	-	-	8,869	-	8,869
Long-term debt:						
Principal	-	-	-	-	1,970,000	1,970,000
Interest and fiscal charges	-	-	-	-	774,869	774,869
Total expenditures	1,084,215	200,836	31,725	1,316,776	2,744,869	4,061,645
Excess (Deficiency) of revenues over (under) expenditures	1,073,220	(488)	(5,805)	1,066,927	(2,742,383)	(1,675,456)
Other financing sources:						
Transfer in	-	-	-	-	2,712,340	2,712,340
Change in fund balances	1,073,220	(488)	(5,805)	1,066,927	(30,043)	1,036,884
Fund balances beginning of year	2,326,639	313,369	740,210	3,380,218	4,129,212	7,509,430
Fund balances end of year	\$ 3,399,859	312,881	734,405	4,447,145	4,099,169	8,546,314

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
CAPITAL PROJECTS FUND ACCOUNTS
JUNE 30, 2021

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 7,513,935	1,500,656	9,014,591
Receivables:			
Property tax:			
Delinquent	-	13,201	13,201
Succeeding year	-	1,159,012	1,159,012
Due from other governments	341,460	-	341,460
Total assets	\$ 7,855,395	2,672,869	10,528,264
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ -	16,678	16,678
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,159,012	1,159,012
Fund balances:			
Restricted for:			
School infrastructure	7,855,395	-	7,855,395
Physical plant and equipment	-	1,497,179	1,497,179
Total fund balances	7,855,395	1,497,179	9,352,574
Total liabilities, deferred inflows of resources and fund balances	\$ 7,855,395	2,672,869	10,528,264

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2021

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,192,978	1,192,978
Other	17,577	2,316	19,893
State sources	4,080,613	15,446	4,096,059
Total revenues	4,098,190	1,210,740	5,308,930
Expenditures:			
Current:			
Instruction:			
Regular	-	18,499	18,499
Support services:			
Instructional staff	282,992	3,885	286,877
Administration	-	31,277	31,277
Operation and maintenance of plant	-	364,936	364,936
Transportation	-	67,777	67,777
Capital outlay	102,769	611,471	714,240
Total expenditures	385,761	1,097,845	1,483,606
Excess of revenues over expenses	3,712,429	112,895	3,825,324
Other financing sources (uses):			
Insurance proceeds	-	28,780	28,780
Proceeds from the sale of equipment	-	13,926	13,926
Transfer out	(2,712,340)	-	(2,712,340)
Total other financing sources (uses)	(2,712,340)	42,706	(2,669,634)
Change in fund balances	1,000,089	155,601	1,155,690
Fund balances beginning of year	6,855,306	1,341,578	8,196,884
Fund balances end of year	\$ 7,855,395	1,497,179	9,352,574

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2021

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
<u>Senior High School:</u>				
Activity	\$ 7,406	2,000	403	9,003
Art Club	1,737	-	-	1,737
Band	5,392	78	3,800	1,670
BPA Club	300	-	-	300
Cheerleading	11,636	2,178	2,109	11,705
Class 06	-	200	200	-
Coffee Shop	1,921	-	-	1,921
Color Guard	18	-	-	18
DECA	479	211	690	-
Dream Catchers	2,515	432	930	2,017
Ecology Club	2,102	-	-	2,102
FCCLA (HERO)	3,049	934	-	3,983
Future Grayhound Basketball	4,952	-	-	4,952
Future Grayhound Swimming	200	-	-	200
General Athletics	66,798	21,362	17,149	71,011
GLSA Club	97	-	-	97
Grayhound Graphics	794	62	-	856
Hounds for Help	1,485	-	110	1,375
IA Club	1,055	319	-	1,374
International Club	258	-	-	258
Jazz Band	78	-	-	78
Junior Class	6,486	8,770	4,032	11,224
Kiwanis Key Club	316	-	-	316
Math Club	26	-	-	26
Manufacturing Club	-	615	114	501
Middle School Athletics	10,029	10,073	7,632	12,470
Music/Drama	6,661	2,019	3,005	5,675
National Honor Society	-	1,468	1,468	-
Orchestra	-	150	9	141
Pathfinder	12,321	6,027	13,501	4,847
Purple & Gray	50	-	-	50
Senior Class	7,548	1,525	1,480	7,593
Sophomore Class	247	-	-	247
Student Council	6,409	1,858	3,240	5,027
Swing Dance	427	-	-	427
Tech Student Association	2,773	1,170	1,436	2,507
Varsity Club	17,181	14,479	13,318	18,342
Vocal	3,240	-	-	3,240

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 5

<u>Account</u>	<u>Balance Beginning of Year</u>	<u>Revenues</u>	<u>Expenditures</u>	<u>Balance End of Year</u>
<u>Boys Athletics:</u>				
Baseball	6,417	25,285	17,424	14,278
Basketball	16,620	7,739	9,666	14,693
Bowling	565	-	295	270
Cross Country	-	1,851	1,851	-
Football	33,520	11,065	27,040	17,545
Golf	-	1,298	1,298	-
Soccer	3,996	11,106	6,426	8,676
Swimming	18,263	4,475	2,493	20,245
Tennis	-	724	626	98
Track	-	11,905	11,905	-
Wrestling	946	3,363	4,309	-
<u>Girls Athletics:</u>				
Basketball	2,000	2,370	3,595	775
Golf	427	1,121	1,548	-
Soccer	3,744	5,368	2,693	6,419
Softball	215	14,896	15,111	-
Swimming	1,901	5,245	3,783	3,363
Tennis	975	2,232	2,382	825
Track	1,712	2,037	1,809	1,940
Volleyball	4,630	8,556	8,770	4,416
<u>Other Buildings:</u>				
Black Hawk	3,056	1,181	1,109	3,128
Corse	246	-	-	246
Grimes	677	54	-	731
James Madison	11,898	2,045	2,036	11,907
North Hill	1,315	-	-	1,315
Oak Street	14,260	502	41	14,721
Total	\$ 313,369	200,348	200,836	312,881

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2021

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Gueglar Trust	\$ 14,410	-	-	14,410
John H. Witte Foundation	1	-	-	1
Dorothy Lind Music	317,883	14	16,794	301,103
Burlington Education Foundation	3,890	22,592	14,931	11,551
Wedertz Music	55	-	-	55
Wagner Softball Field	-	3,262	-	3,262
Wayne Duke Baseball Field	2,244	-	-	2,244
James Anders	138,009	18	-	138,027
Stiefel Athletic Track	11,398	34	-	11,432
Bell Trust	252,320	-	-	252,320
Total	\$ 740,210	25,920	31,725	734,405

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2021

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Miscellaneous Scholarship	\$ 1,681	-	-	1,681
Adams Scholarship	34,367	277	-	34,644
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,133	7	-	1,140
Haberichter Scholarship	666	9	-	675
Minority Scholarship	200	-	-	200
Johannsen Scholarship	10,674	2,612	-	13,286
Perrine Scholarship	1,850	-	-	1,850
Wehman Scholarship	4,812	37	-	4,849
Student Council Scholarship	629	249	750	128
Ecology Scholarship	508	-	-	508
Huppenbauer Science Scholarship	5,719	-	500	5,219
Berquist Music Scholarship	17,817	-	-	17,817
Jefferson Nurse Scholarship	450	-	-	450
FCCLA Scholarship	3,000	-	-	3,000
Bila Scholarship	277	-	-	277
Total	<u>\$ 83,853</u>	<u>3,191</u>	<u>1,250</u>	<u>85,794</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Revenues:										
Local sources:										
Local tax	\$ 15,420,953	14,669,263	15,281,832	15,109,698	14,414,004	14,352,078	13,728,463	13,247,611	17,829,755	17,686,041
Tuition	632,202	766,192	908,880	798,301	734,594	666,068	773,989	747,319	842,761	888,290
Other	614,981	1,027,797	1,170,962	1,241,246	860,478	1,270,050	2,136,096	919,649	1,168,439	1,097,340
Intermediate sources	-	-	-	-	-	-	-	-	-	-
State sources	36,624,631	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654	38,633,289	35,713,620	28,951,262	27,776,422
Federal sources	6,283,197	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529	3,523,851	3,667,089	3,457,367	3,743,517
Total	\$ 59,575,964	56,991,809	57,682,677	58,132,205	57,552,687	57,913,379	58,795,688	54,295,288	52,249,584	51,191,610
Expenditures:										
Instruction:										
Regular	\$ 21,774,302	20,908,020	21,837,640	21,803,196	21,932,930	22,030,385	21,265,845	21,038,676	19,880,112	18,657,669
Special	8,508,522	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365	8,374,707	9,004,603	8,563,453	7,802,586
Other	5,338,018	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462	4,073,374	4,407,776	4,167,126	4,109,730
Support services:										
Student	2,107,592	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041	2,036,219	1,942,209	1,879,602	1,771,981
Instructional staff	2,087,069	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018	2,283,938	1,065,944	1,028,208	1,125,093
Administration	5,349,151	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751	5,012,281	4,982,721	4,888,832	4,331,694
Operation and maintenance of plant	4,685,993	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216	3,884,968	3,845,625	3,746,172	3,273,056
Transportation	1,286,861	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144	1,451,216	1,482,560	1,410,024	1,301,984
Non-instructional programs	28,397	23,010	21,620	41,799	32,122	40,610	56,062	39,651	18,266	21,283
Capital outlay	714,240	835,568	1,030,789	1,109,633	1,120,453	1,055,201	1,814,612	2,368,609	2,111,402	4,622,937
Long-term debt:										
Principal	1,970,000	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000	1,695,000	1,655,000	1,695,000	-
Interest	774,869	847,829	917,621	985,677	1,052,328	1,112,015	1,166,453	1,221,302	1,145,587	1,418,345
Other expenditures:										
AEA flowthrough	1,993,363	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978	2,009,543	1,909,154	1,752,703	1,702,734
Total	\$ 56,618,377	54,850,908	55,894,787	55,860,257	56,441,075	55,877,186	55,124,218	54,963,830	52,286,487	50,139,092

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2021**

GRANTOR/PROGRAM	CFDA NUMBER	PASS-THROUGH ENTITY IDENTIFYING NUMBER	PROGRAM EXPENDITURES
U.S. DEPARTMENT OF AGRICULTURE: IOWA DEPARTMENT OF EDUCATION: CHILD NUTRITION CLUSTER: NATIONAL SCHOOL LUNCH PROGRAM	10.555	FY 21	\$ 274,716 *
SUMMER FOOD SERVICE PROGRAM FOR CHILDREN	10.559	FY 21	982,376
			<u>1,257,092</u>
U.S. DEPARTMENT OF JUSTICE: IOWA DEPARTMENT OF PUBLIC HEALTH: JUVENILE MENTORING PROGRAM	16.726	FY 21	<u>36,429</u>
U.S. DEPARTMENT OF TREASURY: IOWA DEPARTMENT OF EDUCATION: CORONAVIRUS RELIEF FUND	21.019	FY 21	<u>1,160</u>
DES MOINES COUNTY AUDITOR: CORONAVIRUS RELIEF FUND	21.019	FY 21	<u>63,217</u>
IOWA ECONOMIC DEVELOPMENT AUTHORITY: CORONAVIRUS RELIEF FUND	21.019	FY 21	<u>10,000</u>
U.S. DEPARTMENT OF EDUCATION: IOWA DEPARTMENT OF EDUCATION: TITLE I GRANTS TO LOCAL EDUCATIONAL AGENCIES	84.010	FY 21	<u>1,875,960</u>
CAREER AND TECHNICAL EDUCATION - BASIC GRANTS TO STATES	84.048	FY 21	<u>73,106</u>
EDUCATION FOR HOMELESS CHILDREN AND YOUTH	84.196	FY 21	<u>50,546</u>
TWENTY-FIRST CENTURY COMMUNITY LEARNING CENTERS	84.287	FY 21	<u>374,574</u>
SPECIAL EDUCATION - STATE PERSONNEL DEVELOPMENT	84.323	FY 21	<u>1,831</u>
RURAL EDUCATION	84.358	FY 21	<u>55,784</u>
SUPPORTING EFFECTIVE INSTRUCTION STATE GRANTS	84.367	FY 21	<u>192,870</u>
STUDENT SUPPORT AND ACADEMIC ENRICHMENT PROGRAM	84.424	FY 21	<u>77,219</u>
EDUCATION STABILIZATION FUND	84.425C	FY 21	<u>2,121</u>
EDUCATION STABILIZATION FUND	84.425D	FY 20	<u>67,767</u>
EDUCATION STABILIZATION FUND	84.425D	FY 21	<u>1,947,531</u>
INDIVIDUALS WITH DISABILITIES EDUCATION ACT (IDEA) SUBGRANTS	84.027	FY 21	<u>2,847 **</u>
GREAT PRAIRIE AREA EDUCATION AGENCY: SPECIAL EDUCATION - GRANTS TO STATES	84.027	FY 21	<u>215,333 **</u>
ENGLISH LANGUAGE ACQUISITION STATE GRANTS	84.365	FY 21	<u>5,007</u>
U.S. DEPARTMENT OF EDUCATION: IOWA VOCATIONAL REHABILITATION SERVICES: REHABILITATION SERVICES VOCATIONAL REHABILITATION GRANTS TO STATE	84.126	FY 21	<u>55,613</u>
U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES: IOWA DEPARTMENT OF HUMAN SERVICES: IOWA CHILD ABUSE PREVENTION - RESILIENT COMMUNITIES DEMONSTRATION	93.556	FY 21	<u>113,633</u>
U.S. DEPARTMENT OF HOMELAND SECURITY: FEDERAL EMERGENCY MANAGEMENT AGENCY: STATE OF IOWA: PUBLIC ASSISTANCE GRANTS (FEMA DISASTER ASSISTANCE)	97.036	FY 21	<u>68,466</u>
TOTAL			<u>\$ 6,548,106</u>

* - Includes \$28,033 of non-cash awards

** - Total of Special Education - Grants to States is \$218,180

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2021. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles in OMB Circular A-87, Cost Principles for State, Local and Indian Tribal Governments, or the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District does not use a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

**Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards**

To the Board of Education of Burlington Community School District:

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund, and the aggregate remaining fund information of Burlington Community School District, as of and for the year ended June 30, 2021, and the related Notes to Financial Statements, which collectively comprise Burlington Community School District's basic financial statements, and have issued our report thereon dated March 24, 2022.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statement will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatements, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under Government Auditing Standards.

Burlington Community School District's Responses to Findings

Burlington Community School District's responses to the findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

March 24, 2022
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

**Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance**

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements described in U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021. Burlington Community School District's major federal programs are identified in Part I of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Burlington Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with U.S. generally accepted auditing standards, the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether non-compliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Burlington Community School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe our audit provides a reasonable basis for our opinion on compliance for each of the major federal programs. However, our audit does not provide a legal determination of Burlington Community School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Burlington Community School District complied, in all material respects, with the types of requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control Over Compliance

Management of Burlington Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Burlington Community School District's internal control over compliance with the type of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



NOLTE, CORNMAN & JOHNSON, P.C.

March 24, 2022
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2021

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.
- (g) Major programs were as follows:
 - CFDA Number 84.425 - Education Stabilization Fund
 - CFDA Number 84.027 - Special Education - Grants to States (Part B)
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District qualified as a low-risk auditee.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2021

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2021

Part IV: Other Findings Related to Required Statutory Reporting:

IV-A-21 Certified Budget - District disbursements for the year ended June 30, 2021 did not exceed the certified budgeted amounts.

IV-B-21 Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

IV-C-21 Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-21 Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owner of Greyhound Painting	Services-Painting	\$ 50,000

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with the District employee do not appear to represent a conflict of interest.

IV-E-21 Restricted Donor Activity – No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-21 Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

IV-G-21 Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

IV-H-21 Certified Enrollment - No variances in the basic enrollment data certified to the Iowa Department of Education were noted.

IV-I-21 Supplementary Weighting - No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-21 Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-21 Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-L-21 Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.

IV-M-21 Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2021, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 6,855,306
Revenues:		
Sales tax revenues	\$ 4,080,613	
Other state revenues	<u>17,577</u>	<u>4,098,190</u>
Expenditures/transfers out:		
School infrastructure construction	102,769	
Other	282,992	
Transfers to other funds:		
Debt service fund	<u>2,712,340</u>	<u>3,098,101</u>
Ending balance		<u><u>\$ 7,855,395</u></u>

For the year ended June 30, 2021, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.